

Safety is the essence of fixed-income investing, according to Graham, who develops the thought in words that continue to be quoted, if not strictly adhered to, today. Thus:

Our primary conception of the bond as a commitment with limited return leads us to another important viewpoint toward bond investment. Since the chief emphasis must be placed on the avoidance of loss, bond selection is primarily a negative art. It is a process of exclusion and rejection, rather than of search and acceptance. (Chap. 6)

One can only speculate how Graham would have adapted this premise to the current era of ultra-low interest rates and to the existence, as recently as year-end 2021, of nearly \$18 trillion dollars' worth of fixed-income securities worldwide quoted at nominal yields of less than zero. Far from a process of exclusion and rejection, bond investment, for the yield-famished savers of today, has become a desperate stampede for basis points—a process of inclusion and necessarily uncritical acceptance.

Nonetheless, in the 1940 edition, Graham records his support of the system of “legal lists,” compendia of fixed-income securities authorized by state banking regulators for purchase by the savings banks under their charge. “Since the selection of high-grade bonds has been shown to be in good part a process of exclusion,” he explains, “it lends itself reasonably well to the application of definite rules and standards designed to disqualify unsuitable issues.” (Chap. 8)

The 1930s ushered in a revolution in financial disclosure. The new federal securities acts directed investor-owned companies to brief their stockholders once a quarter as well as at year-end. But the new standards were not immediately applicable to all public companies, and more than a few continued doing business the old-fashioned way, with their cards to their vests. One of these informational holdouts was none other than Dun & Bradstreet (D&B), the financial information